U.S. Plans Tighter Rules on High-Tech Money Sent Abroad

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On Thursday, October 23, the U.S. Treasury Department proposed a new rule to tighten limits on U.S. high-tech investments in China, Russia, and North Korea. The rule is only a proposal, and Treasury will hear public comments before a final rule.

Outbound investment means money U.S. investors put into companies in other countries. The government says it has worked for years to stop such money from helping **adversaries** build up military power.

The proposal would add **hypersonic** systems that travel at five times the speed of sound, **supercomputing**, biotechnology, and artificial intelligence, which Treasury called superintelligence. It would apply only to investments over $50,000, and it would exclude many financial investments, including stock purchases.

The program began in 2023, when then-President Joe Biden signed an order limiting investments in **semiconductors**, quantum computing, and artificial intelligence going into China. In December 2025, Congress expanded the program to more technologies and countries.

Supporters say it shows Washington is watching where U.S. money goes. China pushed back, with spokesperson Mao Ning saying overstretching national security and restricting trade serve no one's interests.

Word Treasure

Outbound investment -- Money investors from one country put into companies in other countries.

adversaries -- Countries or groups seen as opponents.

hypersonic -- Systems that travel at five times the speed of sound.

supercomputing -- Using extremely powerful computers to solve huge problems.

semiconductors -- Tiny parts inside computers and phones that control electricity.

Background you need

Outbound investment means money U.S. investors put into companies in other countries.

The government wants to stop such money from helping other countries build up military power.

The new proposal would add more technologies, like supercomputing and artificial intelligence, to the limits.

Break it down

WHO: The U.S. Treasury Department, U.S. investors, supporters, and China with spokesperson Mao Ning.

WHAT: A proposed rule to tighten limits on U.S. high-tech investments in China, Russia, and North Korea.

WHERE: The United States and the countries named in the proposal.

WHY: The government says it wants to stop such money from helping adversaries build up military power.

Why it matters

Rules about where money can go shape the technology in phones, computers, and games you may use one day.

Test what you remember

1. **What did the Treasury Department propose on Thursday, October 23?**
   - (A) A ban on all foreign travel
   - (B) A new tax on phones
   - (C) A rule to close stock markets
   - (D) A new rule to tighten limits on U.S. high-tech investments in China, Russia, and North Korea
2. **What does outbound investment mean?**
   - (A) Money U.S. investors put into companies in other countries
   - (B) Money the government spends on roads
   - (C) Money banks lend to farmers
   - (D) Money tourists spend abroad
3. **Which technologies would the proposal add?**
   - (A) Only electric cars
   - (B) Only video games
   - (C) Hypersonic systems, supercomputing, biotechnology, and artificial intelligence
   - (D) Only farming tools
4. **The rule would apply only to investments over what amount?**
   - (A) $50,000
   - (B) $1,000
   - (C) $5 million
   - (D) $500
5. **When did the program begin?**
   - (A) Last week
   - (B) In December 2025
   - (C) In 2023, when then-President Joe Biden signed an order
   - (D) In 2019
6. **What did China say, through spokesperson Mao Ning?**
   - (A) China will stop all trade
   - (B) China supports the rule
   - (C) China asked for more limits
   - (D) Overstretching national security and restricting trade serve no one's interests

Answer key (try the quiz first!): 1: D 2: A 3: C 4: A 5: C 6: D

Questions to think about

1. Supporters: Say it shows Washington is watching where U.S. money goes.
2. China, through spokesperson Mao Ning: Says overstretching national security and restricting trade serve no one's interests.
3. The government: Says it has worked for years to stop such money from helping adversaries build up military power.

MY THOUGHTS (at least 20 words):